

**SUBSTITUTE FOR
HOUSE BILL NO. 5331**

A bill to amend 1984 PA 431, entitled
"The management and budget act,"
(MCL 18.1101 to 18.1594) by adding section 261g.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 261g. (1) Subject to subsections (2) to (4), a public**
2 **entity shall not purchase or operate a drone manufactured in whole**
3 **or in part by a company that is named on any of the following**
4 **lists:**

5 **(a) The United States Department of Defense list of companies**
6 **published under section 1260H of the William M. (Mac) Thornberry**
7 **national defense authorization act for fiscal year 2021, Public Law**
8 **116-283.**

9 **(b) The United States Department of Treasury's Chinese**



1 Military-Industrial Complex Sanction List published under 31 CFR
2 part 586.

3 (c) The United States Department of Commerce Bureau of
4 Industry and Security's Entity List published as 15 CFR part 744,
5 supplement 4.

6 (2) Subsection (1) applies as follows:

7 (a) Beginning 2 years after the effective date of the
8 amendatory act that added this section, a public entity shall not
9 purchase a drone prohibited under subsection (1).

10 (b) Beginning 5 years after the effective date of the
11 amendatory act that added this section, a public entity shall not
12 operate a drone prohibited under subsection (1).

13 (3) A public entity may operate a drone prohibited under this
14 section if the governor declares a state of emergency or state of
15 disaster and operating that drone would assist the public entity in
16 responding to that state of emergency or state of disaster.

17 (4) This section does not apply to a drone that is a small
18 unmanned aircraft system procured, purchased, operated, or deployed
19 in compliance with section 16 of the unmanned aircraft systems act,
20 2016 PA 436, MCL 259.316.

21 (5) As used in this section, "public entity" means any of the
22 following:

23 (a) A state agency, unit of local government, university, or
24 community college.

25 (b) An entity that receives money from a state agency or unit
26 of local government.

27 Enacting section 1. This amendatory act does not take effect
28 unless House Bill No. 5330 of the 103rd Legislature is enacted into
29 law.

